

Shyami v. State of U.P.

Allahabad High Court · Division Bench · 27 January 2021 · WRIT - C No. 26024 of 2020 · **Writ disposed; 28.09.2020 recovery kept in abeyance; representation to be heard and decided.**

HEADNOTE

A provisional assessment under section 126 of the Electricity Act, 2003 does not become a final assessment merely because the consumer filed no objection. The licensee must complete a final assessment after hearing, as clause 8.1 of the 2005 Supply Code requires. Recovery on the provisional figure, without that final order, is de hors section 126 and clause 8.1 and violates natural justice. The 28 September 2020 demand was kept in abeyance for a representation to be decided after hearing.

FACTUAL SUMMARY

On a checking of the petitioner's premises the licensee made a provisional assessment on 1 February 2020. A copy was not supplied, so the petitioner could not file objections. The licensee treated that provisional figure as the final assessment and issued a recovery notice dated 28 September 2020 for Rs 2,36,602 including recovery charges. The petitioner sought certiorari quashing the recovery and a mandamus restraining collection, alleging that section 126(3) of the Electricity Act, 2003 and clause 8.1 of the 2005 Supply Code had not been followed.

REUSABLE CONSTRUCTIONS

1. A provisional section 126 assessment does not become final merely because no objection was filed within 15 days; a final assessment after opportunity of hearing remains mandatory. ¶ 5,8
2. The consumer cannot be compelled to deposit, and recovery cannot proceed on, a provisional assessment unless a final assessment has been made after considering objections and affording a hearing under section 126 and clause 8.1. ¶ 7-8

HOLDING-UNITS

INTERPLAY · EA2003::126(3)

provisional assessment cannot be treated as final

HOLDING

Want of objection to a provisional assessment does not convert it into a final assessment. Clause 8.1 of the 2005 Code requires inspection, provisional assessment, hearing and final assessment in theft cases. Treating the provisional amount as final without supplying the order or affording a hearing is de hors section 126 and clause 8.1 and violates natural justice. The petitioner could not be compelled to deposit on the provisional figure. The 28.09.2020 demand was kept in abeyance; a representation is to be decided by a reasoned order after hearing. ¶ 5,8-10

PRINCIPLE TAGS

final-assessment-order-mandatory-under-section-126-3 The Court refused to treat a no-objection provisional assessment as the final section 126 order and would not allow recovery until a final assessment after hearing. Lead authorities: *Shishir Jain v. Paschimanchal Vidyut Vitran Nigam Ltd.* [2017 (3) AWC 3084]. ¶ 5,7-8

clause-8.1b-personal-hearing-mandatory-before-final-assessment Clause 8.1 was applied as the theft-assessment procedure requiring hearing before final assessment; the licensee had skipped that step. Lead authorities: *Shishir Jain v. Paschimanchal Vidyut Vitran Nigam Ltd.* [2017 (3) AWC 3084]. ¶ 8

ex-parte-s126-assessment-requires-hearing-before-recovery Recovery on a provisional figure treated as final, without copy or hearing, was held unsustainable; the demand was kept in abeyance. Lead authorities: *Shishir Jain v. Paschimanchal Vidyut Vitran Nigam Ltd.* [2017 (3) AWC 3084]. ¶ 8-10

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
Shishir Jain v. Paschimanchal Vidyut Vitran Nigam Ltd. 2017 (3) AWC 3084			7	Referred

SCJ-2462 · Shyami v. State of U.P. · · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.